

SENATE No. 779

The Commonwealth of Massachusetts

PRESENTED BY:

Jason M. Lewis

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to protect 340B providers.

PETITION OF:

NAME:

Jason M. Lewis

DISTRICT/ADDRESS:

Fifth Middlesex

SENATE No. 779

By Mr. Lewis, a petition (accompanied by bill, Senate, No. 779) of Jason M. Lewis for legislation to protect 340B providers in the drug discount program. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to protect 340B providers.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 32A of the General Laws, as appearing in the 2022 Official
2 Edition, is hereby amended by inserting after section 33, the following new section: -

3 Section 34.

4 (a) For purposes of this section:

5 (1) “340B drug” shall mean a drug that has been subject to any offer for reduced prices
6 by a manufacturer pursuant to 42 U.S.C. 256b and is purchased by a covered entity as defined by
7 42 U.S.C. 256b(a)(4).

8 (2) “340B entity” shall mean an entity participating or authorized to participate in the
9 federal 340B drug discount program, as defined by 42 U.S.C. 256b, including its pharmacy, or
10 any pharmacy contracted with the participating entity to dispense drugs purchased through the
11 340B drug discount program.

(3) “Health insurance issuer” shall mean the group insurance commission or a “carrier” as defined in section 1 of chapter 176O.

(4) “Third party” shall mean a group health plan, a health insurance issuer offering group or individual health insurance coverage, or a pharmacy benefit manager that reimburses a 340B covered entity for drugs. Third party includes Medicaid managed care organizations, employee benefit plans under the Employee Retirement Income Security Act of 1974, or Medicare Part C or D plans. Third party does not include drugs reimbursed under Medicaid fee-for-service or a self-pay patient.

(5) “Manufacturer” means a person who is engaged in manufacturing, preparing, propagating, compounding, processing, packaging, repackaging or labeling a prescription drug as defined in 247 CMR 2.00.

(6) “Pharmacy” includes the definition of “pharmacy” and “retail drug business” as defined by section 1 of chapter 94C, and “Institutional pharmacy” as defined by section 39D of chapter 112.

(7) “Pharmacy benefit manager” shall have the same meaning as defined by section 226 of chapter 175.

(b) With respect to reimbursement to a 340B entity for 340B drugs, a health insurance issuer, pharmacy benefit manager, other third party payor, or their agents shall not do any of the following:

(i) Reimburse a 340B entity for 340B drugs at a rate lower than that paid for the same drug to entities that are not 340B entities or lower reimbursement for a claim on the basis that the claim is for a 340B drug.

(ii) Impose any terms or conditions on any 340B entity with respect to any of the following that differ from such terms or conditions applied to non-340B entities on the basis that the entity participates in the federal 340B drug discount program set forth in 42 U.S.C.256b or that a drug is a 340B drug including, without limitation, any of the following:

A. Fees, charges, clawbacks, or other adjustments or assessments. For purposes of this Subsection, the term “other adjustment” includes placing any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity that are not placed upon other entities that do not participate in the 340B drug discount program, including affiliate pharmacies of the health insurance issuer, pharmacy benefit manager, or other third-party payor.

B. Dispensing fees that are less than the dispensing fees for non-340B entities.

C. Restrictions or requirements regarding participation in standard or preferred pharmacy networks.

D. Requirements that a claim for a drug include any identification, billing modifier, attestation, or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

E. Any other restrictions, conditions, practices, or policies that are not imposed on non-340B entities.

(iii) Require a 340B entity to reverse, resubmit, or clarify a claim after the initial adjudication unless these actions are in the normal course of pharmacy business and not related to 340B drug pricing.

(iv) Discriminate against a 340B entity in a manner that prevents or interferes with any patient's choice to receive such drugs from the 340B entity, including the administration of such drugs. For purposes of this subsection, it is considered a discriminatory practice that prevents or interferes with a patient's choice to receive drugs at a 340B entity if a health insurance issuer, pharmacy benefit manager, or other third-party payor places any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity, including but not limited to requiring a claim for a drug to include any identification, billing modifier, attestation or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(v) Require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(vi) Include any other provision in a contract between a health insurance issuer, pharmacy benefit manager, or other third-party payor and a 340B entity that discriminates against the 340B

entity or prevents or interferes with an individual's choice to receive a prescription drug from a 340B entity, including the administration of the drug, in person or via direct delivery, mail, or other form of shipment, or creation of a restriction or additional charge on a patient who chooses to receive drugs from a 340B entity.

(vii) Require or compel the submission of ingredient costs or pricing data pertaining to 340B drugs to any health insurance issuer, pharmacy benefit manager, or other third-party payor.

(viii) Exclude any 340B entity from the health insurance issuer, pharmacy benefit manager, or other third party payor network on the basis that the 340B entity dispenses drugs subject to an agreement under 42 U.S.C.256b, or refusing to contract with a 340B entity for reasons other than those that apply equally to non-340B entities.

(ix) Nothing in this section applies to the division of medical assistance as payor when Medicaid provides reimbursement for covered outpatient drugs as defined in 42 U.S.C. 1396r-8(9k)).

(c) With respect to manufacturing or distribution of drugs related to 340B entities:

(i) A manufacturer or distributor shall not deny, restrict, prohibit, or otherwise interfere with, either directly or indirectly, the acquisition of a 340B drug by, or delivery of a 340B drug to, a pharmacy that is under contract with a 340B entity and is authorized under such contract to receive and dispense 340B drugs on behalf of the covered entity unless such receipt is prohibited by the United States Department of Health and Human Services.

(ii) A manufacturer or distributor shall not interfere with a pharmacy contracted with a 340B entity.

(iii) A manufacturer or distributor shall not require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services.

SECTION 2. Chapter 175 of the General Laws, as so appearing, is hereby amended by inserting after section 47UU, the following new section:-

Section 47VV.

(a) For purposes of this section:

(1) “340B drug” shall mean a drug that has been subject to any offer for reduced prices by a manufacturer pursuant to 42 U.S.C. 256b and is purchased by a covered entity as defined by 42 U.S.C. 256b(a)(4).

(2) “340B entity” shall mean an entity participating or authorized to participate in the federal 340B drug discount program, as defined by 42 U.S.C. 256b, including its pharmacy, or any pharmacy contracted with the participating entity to dispense drugs purchased through the 340B drug discount program.

(3) “Health insurance issuer” shall mean “carrier” as defined in section 1 of chapter 176O.

(4) “Third party” shall mean a group health plan, a health insurance issuer offering group or individual health insurance coverage, or a pharmacy benefit manager that reimburses a 340B covered entity for drugs. Third party includes Medicaid managed care organizations, employee benefit plans under the Employee Retirement Income Security Act of 1974, or Medicare Part C

or D plans. Third party does not include drugs reimbursed under Medicaid fee-for-service or a self-pay patient.

(5) “Manufacturer” means a person who is engaged in manufacturing, preparing, propagating, compounding, processing, packaging, repackaging or labeling a prescription drug as defined in 247 CMR 2.00.

(6) “Pharmacy” includes the definition of “pharmacy” and “retail drug business” as defined by section 1 of chapter 94C, and “Institutional pharmacy” as defined by section 39D of chapter 112.

(7) “Pharmacy benefit manager” shall have the same meaning as defined by section 226 of chapter 175.

(b) With respect to reimbursement to a 340B entity for 340B drugs, a health insurance issuer, pharmacy benefit manager, other third party payor, or their agents shall not do any of the following:

(i) Reimburse a 340B entity for 340B drugs at a rate lower than that paid for the same drug to entities that are not 340B entities or lower reimbursement for a claim on the basis that the claim is for a 340B drug.

(ii) Impose any terms or conditions on any 340B entity with respect to any of the following that differ from such terms or conditions applied to non-340B entities on the basis that the entity participates in the federal 340B drug discount program set forth in 42 U.S.C.256b or that a drug is a 340B drug including, without limitation, any of the following:

A. Fees, charges, clawbacks, or other adjustments or assessments. For purposes of this Subsection, the term “other adjustment” includes placing any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity that are not placed upon other entities that do not participate in the 340B drug discount program, including affiliate pharmacies of the health insurance issuer, pharmacy benefit manager, or other third-party payor.

B. Dispensing fees that are less than the dispensing fees for non-340B entities.

C. Restrictions or requirements regarding participation in standard or preferred pharmacy networks.

D. Restrictions or requirements regarding participation in standard or preferred pharmacy network.

E. Requirements that a claim for a drug include any identification, billing modifier, attestation, or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

F. Any other restrictions, conditions, practices, or policies that are not imposed on non-340B entities.

(iii) Require a 340B entity to reverse, resubmit, or clarify a claim after the initial adjudication unless these actions are in the normal course of pharmacy business and not related to 340B drug pricing.

(iv) Discriminate against a 340B entity in a manner that prevents or interferes with any patient's choice to receive such drugs from the 340B entity, including the administration of such drugs. For purposes of this subsection, it is considered a discriminatory practice that prevents or interferes with a patient's choice to receive drugs at a 340B entity if a health insurance issuer, pharmacy benefit manager, or other third-party payor places any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity, including but not limited to requiring a claim for a drug to include any identification, billing modifier, attestation or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(v) Require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(vi) Include any other provision in a contract between a health insurance issuer, pharmacy benefit manager, or other third-party payor and a 340B entity that discriminates against the 340B entity or prevents or interferes with an individual's choice to receive a prescription drug from a 340B entity, including the administration of the drug, in person or via direct delivery, mail, or other form of shipment, or creation of a restriction or additional charge on a patient who chooses to receive drugs from a 340B entity.

(vii) Require or compel the submission of ingredient costs or pricing data pertaining to 340B drugs to any health insurance issuer, pharmacy benefit manager, or other third party payor.

(viii) Exclude any 340B entity from the health insurance issuer, pharmacy benefit manager, or other third party payor network on the basis that the 340B entity dispenses drugs subject to an agreement under 42 U.S.C.256b, or refusing to contract with a 340B entity for reasons other than those that apply equally to non-340B entities.

(ix) Nothing in this section applies to the division of medical assistance as payor when Medicaid provides reimbursement for covered outpatient drugs as defined in 42 U.S.C. 1396r-8(9k)).

(c) With respect to manufacturing or distribution of drugs related to 340B entities:

(i) A manufacturer or distributor shall not deny, restrict, prohibit, or otherwise interfere with, either directly or indirectly, the acquisition of a 340B drug by, or delivery of a 340B drug to, a pharmacy that is under contract with a 340B entity and is authorized under such contract to receive and dispense 340B drugs on behalf of the covered entity unless such receipt is prohibited by the United States Department of Health and Human Services.

(ii) A manufacturer or distributor shall not interfere with a pharmacy contracted with a 340B entity.

(iii) A manufacturer or distributor shall not require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services.

SECTION 3. Chapter 176A of the General Laws, as so appearing, is hereby amended by inserting after section 39, the following new section:-

Section 40.

(a) For purposes of this section:

(1) “340B drug” shall mean a drug that has been subject to any offer for reduced prices by a manufacturer pursuant to 42 U.S.C. 256b and is purchased by a covered entity as defined by 42 U.S.C. 256b(a)(4).

(2) “340B entity” shall mean an entity participating or authorized to participate in the federal 340B drug discount program, as defined by 42 U.S.C. 256b, including its pharmacy, or any pharmacy contracted with the participating entity to dispense drugs purchased through the 340B drug discount program.

(3) “Health insurance issuer” shall mean “carrier” as defined in section 1 of chapter 176O.

(4) “Third party” shall mean a group health plan, a health insurance issuer offering group or individual health insurance coverage, or a pharmacy benefit manager that reimburses a 340B covered entity for drugs. Third party includes Medicaid managed care organizations, employee benefit plans under the Employee Retirement Income Security Act of 1974, or Medicare Part C or D plans. Third party does not include drugs reimbursed under Medicaid fee-for-service or a self-pay patient.

(5) “Manufacturer” means a person who is engaged in manufacturing, preparing, propagating, compounding, processing, packaging, repackaging or labeling a prescription drug as defined in 247 CMR 2.00.

(6) “Pharmacy” includes the definition of “pharmacy” and “retail drug business” as defined by section 1 of chapter 94C, and “Institutional pharmacy” as defined by section 39D of chapter 112.

(7) “Pharmacy benefit manager” shall have the same meaning as defined by section 226 of chapter 175.

(b) With respect to reimbursement to a 340B entity for 340B drugs, a health insurance issuer, pharmacy benefit manager, other third party payor, or their agents shall not do any of the following:

(i) Reimburse a 340B entity for 340B drugs at a rate lower than that paid for the same drug to entities that are not 340B entities or lower reimbursement for a claim on the basis that the claim is for a 340B drug.

(ii) Impose any terms or conditions on any 340B entity with respect to any of the following that differ from such terms or conditions applied to non-340B entities on the basis that the entity participates in the federal 340B drug discount program set forth in 42 U.S.C.256b or that a drug is a 340B drug including, without limitation, any of the following:

A. Fees, charges, clawbacks, or other adjustments or assessments. For purposes of this Subsection, the term “other adjustment” includes placing any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or

239 fees to the 340B entity that are not placed upon other entities that do not participate in the 340B
240 drug discount program, including affiliate pharmacies of the health insurance issuer, pharmacy
241 benefit manager, or other third-party payor.

242 B. Dispensing fees that are less than the dispensing fees for non-340B entities.

243 C. Restrictions or requirements regarding participation in standard or preferred pharmacy
244 networks.

245 D. Restrictions or requirements regarding participation in standard or preferred pharmacy
246 network.

247 E. Requirements that a claim for a drug include any identification, billing modifier,
248 attestation, or other indication that a drug is a 340B drug in order to be processed or resubmitted
249 unless it is required by the United States Department of Health and Human Services, Centers for
250 Medicare and Medicaid Services, the executive office of health and human services, or the
251 division of medical assistance.

252 F. Any other restrictions, conditions, practices, or policies that are not imposed on non-
253 340B entities.

254 (iii) Require a 340B entity to reverse, resubmit, or clarify a claim after the initial
255 adjudication unless these actions are in the normal course of pharmacy business and not related
256 to 340B drug pricing.

257 (iv) Discriminate against a 340B entity in a manner that prevents or interferes with any
258 patient's choice to receive such drugs from the 340B entity, including the administration of such
259 drugs. For purposes of this subsection, it is considered a discriminatory practice that prevents or

interferes with a patient's choice to receive drugs at a 340B entity if a health insurance issuer, pharmacy benefit manager, or other third-party payor places any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity, including but not limited to requiring a claim for a drug to include any identification, billing modifier, attestation or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(v) Require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(vi) Include any other provision in a contract between a health insurance issuer, pharmacy benefit manager, or other third-party payor and a 340B entity that discriminates against the 340B entity or prevents or interferes with an individual's choice to receive a prescription drug from a 340B entity, including the administration of the drug, in person or via direct delivery, mail, or other form of shipment, or creation of a restriction or additional charge on a patient who chooses to receive drugs from a 340B entity.

(vii) Require or compel the submission of ingredient costs or pricing data pertaining to 340B drugs to any health insurance issuer, pharmacy benefit manager, or other third party payor.

(viii) Exclude any 340B entity from the health insurance issuer, pharmacy benefit manager, or other third party payor network on the basis that the 340B entity dispenses drugs subject to an agreement under 42 U.S.C.256b, or refusing to contract with a 340B entity for reasons other than those that apply equally to non-340B entities.

(ix) Nothing in this section applies to the division of medical assistance as payor when Medicaid provides reimbursement for covered outpatient drugs as defined in 42 U.S.C. 1396r-8(9k)).

(c) With respect to manufacturing or distribution of drugs related to 340B entities:

(i) A manufacturer or distributor shall not deny, restrict, prohibit, or otherwise interfere with, either directly or indirectly, the acquisition of a 340B drug by, or delivery of a 340B drug to, a pharmacy that is under contract with a 340B entity and is authorized under such contract to receive and dispense 340B drugs on behalf of the covered entity unless such receipt is prohibited by the United States Department of Health and Human Services.

(ii) A manufacturer or distributor shall not interfere with a pharmacy contracted with a 340B entity.

(iii) A manufacturer or distributor shall not require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services.

SECTION 4. Chapter 176B of the General Laws, as so appearing, is hereby further amended by inserting after section 26 the following new section: -

302 Section 27.

303 (a) For purposes of this section:

304 (1) “340B drug” shall mean a drug that has been subject to any offer for reduced prices
305 by a manufacturer pursuant to 42 U.S.C. 256b and is purchased by a covered entity as defined by
306 42 U.S.C. 256b(a)(4).

307 (2) “340B entity” shall mean an entity participating or authorized to participate in the
308 federal 340B drug discount program, as defined by 42 U.S.C. 256b, including its pharmacy, or
309 any pharmacy contracted with the participating entity to dispense drugs purchased through the
310 340B drug discount program.

311 (3) “Health insurance issuer” shall mean “carrier” as defined in section 1 of chapter
312 176O.

313 (4) “Third party” shall mean a group health plan, a health insurance issuer offering group
314 or individual health insurance coverage, or a pharmacy benefit manager that reimburses a 340B
315 covered entity for drugs. Third party includes Medicaid managed care organizations, employee
316 benefit plans under the Employee Retirement Income Security Act of 1974, or Medicare Part C
317 or D plans. Third party does not include drugs reimbursed under Medicaid fee-for-service or a
318 self-pay patient.

319 (5) “Manufacturer” means a person who is engaged in manufacturing, preparing,
320 propagating, compounding, processing, packaging, repackaging or labeling a prescription drug as
321 defined in 247 CMR 2.00.

(6) “Pharmacy” includes the definition of “pharmacy” and “retail drug business” as defined by section 1 of chapter 94C, and “Institutional pharmacy” as defined by section 39D of chapter 112.

(7) “Pharmacy benefit manager” shall have the same meaning as defined by section 226 of chapter 175.

(b) With respect to reimbursement to a 340B entity for 340B drugs, a health insurance issuer, pharmacy benefit manager, other third party payor, or their agents shall not do any of the following:

(i) Reimburse a 340B entity for 340B drugs at a rate lower than that paid for the same drug to entities that are not 340B entities or lower reimbursement for a claim on the basis that the claim is for a 340B drug.

(ii) Impose any terms or conditions on any 340B entity with respect to any of the following that differ from such terms or conditions applied to non-340B entities on the basis that the entity participates in the federal 340B drug discount program set forth in 42 U.S.C.256b or that a drug is a 340B drug including, without limitation, any of the following:

A. Fees, charges, clawbacks, or other adjustments or assessments. For purposes of this Subsection, the term “other adjustment” includes placing any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity that are not placed upon other entities that do not participate in the 340B drug discount program, including affiliate pharmacies of the health insurance issuer, pharmacy benefit manager, or other third-party payor.

343 B. Dispensing fees that are less than the dispensing fees for non-340B entities.

344 C. Restrictions or requirements regarding participation in standard or preferred pharmacy
345 networks.

346 D. Restrictions or requirements regarding participation in standard or preferred pharmacy
347 network.

348 E. Requirements that a claim for a drug include any identification, billing modifier,
349 attestation, or other indication that a drug is a 340B drug in order to be processed or resubmitted
350 unless it is required by the United States Department of Health and Human Services, Centers for
351 Medicare and Medicaid Services, the executive office of health and human services, or the
352 division of medical assistance.

353 F. Any other restrictions, conditions, practices, or policies that are not imposed on non-
354 340B entities.

355 (iii) Require a 340B entity to reverse, resubmit, or clarify a claim after the initial
356 adjudication unless these actions are in the normal course of pharmacy business and not related
357 to 340B drug pricing.

358 (iv) Discriminate against a 340B entity in a manner that prevents or interferes with any
359 patient's choice to receive such drugs from the 340B entity, including the administration of such
360 drugs. For purposes of this subsection, it is considered a discriminatory practice that prevents or
361 interferes with a patient's choice to receive drugs at a 340B entity if a health insurance issuer,
362 pharmacy benefit manager, or other third-party payor places any additional requirements,
363 restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or

fees to the 340B entity, including but not limited to requiring a claim for a drug to include any identification, billing modifier, attestation or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(v) Require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(vi) Include any other provision in a contract between a health insurance issuer, pharmacy benefit manager, or other third-party payor and a 340B entity that discriminates against the 340B entity or prevents or interferes with an individual's choice to receive a prescription drug from a 340B entity, including the administration of the drug, in person or via direct delivery, mail, or other form of shipment, or creation of a restriction or additional charge on a patient who chooses to receive drugs from a 340B entity.

(vii) Require or compel the submission of ingredient costs or pricing data pertaining to 340B drugs to any health insurance issuer, pharmacy benefit manager, or other third party payor.

(viii) Exclude any 340B entity from the health insurance issuer, pharmacy benefit manager, or other third party payor network on the basis that the 340B entity dispenses drugs subject to an agreement under 42 U.S.C.256b, or refusing to contract with a 340B entity for reasons other than those that apply equally to non-340B entities.

(ix) Nothing in this section applies to the division of medical assistance as payor when Medicaid provides reimbursement for covered outpatient drugs as defined in 42 U.S.C. 1396r-8(9k)).

(c) With respect to manufacturing or distribution of drugs related to 340B entities:

(i) A manufacturer or distributor shall not deny, restrict, prohibit, or otherwise interfere with, either directly or indirectly, the acquisition of a 340B drug by, or delivery of a 340B drug to, a pharmacy that is under contract with a 340B entity and is authorized under such contract to receive and dispense 340B drugs on behalf of the covered entity unless such receipt is prohibited by the United States Department of Health and Human Services.

(ii) A manufacturer or distributor shall not interfere with a pharmacy contracted with a 340B entity.

(iii) A manufacturer or distributor shall not require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services.

SECTION 5. Chapter 176G of the General Laws, as so appearing, is hereby further amended by inserting after section 34 the following new section:-

Section 35.

(a) For purposes of this section:

(1) “340B drug” shall mean a drug that has been subject to any offer for reduced prices by a manufacturer pursuant to 42 U.S.C. 256b and is purchased by a covered entity as defined by 42 U.S.C. 256b(a)(4).

(2) “340B entity” shall mean an entity participating or authorized to participate in the federal 340B drug discount program, as defined by 42 U.S.C. 256b, including its pharmacy, or any pharmacy contracted with the participating entity to dispense drugs purchased through the 340B drug discount program.

(3) “Health insurance issuer” shall mean “carrier” as defined in section 1 of chapter 176O.

(4) “Third party” shall mean a group health plan, a health insurance issuer offering group or individual health insurance coverage, or a pharmacy benefit manager that reimburses a 340B covered entity for drugs. Third party includes Medicaid managed care organizations, employee benefit plans under the Employee Retirement Income Security Act of 1974, or Medicare Part C or D plans. Third party does not include drugs reimbursed under Medicaid fee-for-service or a self-pay patient.

(5) “Manufacturer” means a person who is engaged in manufacturing, preparing, propagating, compounding, processing, packaging, repackaging or labeling a prescription drug as defined in 247 CMR 2.00.

(6) “Pharmacy” includes the definition of “pharmacy” and “retail drug business” as defined by section 1 of chapter 94C, and “Institutional pharmacy” as defined by section 39D of chapter 112.

(7) “Pharmacy benefit manager” shall have the same meaning as defined by section 226 of chapter 175.

(b) With respect to reimbursement to a 340B entity for 340B drugs, a health insurance issuer, pharmacy benefit manager, other third party payor, or their agents shall not do any of the following:

(i) Reimburse a 340B entity for 340B drugs at a rate lower than that paid for the same drug to entities that are not 340B entities or lower reimbursement for a claim on the basis that the claim is for a 340B drug.

(ii) Impose any terms or conditions on any 340B entity with respect to any of the following that differ from such terms or conditions applied to non-340B entities on the basis that the entity participates in the federal 340B drug discount program set forth in 42 U.S.C.256b or that a drug is a 340B drug including, without limitation, any of the following:

A. Fees, charges, clawbacks, or other adjustments or assessments. For purposes of this Subsection, the term “other adjustment” includes placing any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity that are not placed upon other entities that do not participate in the 340B drug discount program, including affiliate pharmacies of the health insurance issuer, pharmacy benefit manager, or other third-party payor.

B. Dispensing fees that are less than the dispensing fees for non-340B entities.

C. Restrictions or requirements regarding participation in standard or preferred pharmacy networks.

447 D. Restrictions or requirements regarding participation in standard or preferred pharmacy
448 network.

449 E. Requirements that a claim for a drug include any identification, billing modifier,
450 attestation, or other indication that a drug is a 340B drug in order to be processed or resubmitted
451 unless it is required by the United States Department of Health and Human Services, Centers for
452 Medicare and Medicaid Services, the executive office of health and human services, or the
453 division of medical assistance.

454 F. Any other restrictions, conditions, practices, or policies that are not imposed on non-
455 340B entities.

456 (iii) Require a 340B entity to reverse, resubmit, or clarify a claim after the initial
457 adjudication unless these actions are in the normal course of pharmacy business and not related
458 to 340B drug pricing.

459 (iv) Discriminate against a 340B entity in a manner that prevents or interferes with any
460 patient's choice to receive such drugs from the 340B entity, including the administration of such
461 drugs. For purposes of this subsection, it is considered a discriminatory practice that prevents or
462 interferes with a patient's choice to receive drugs at a 340B entity if a health insurance issuer,
463 pharmacy benefit manager, or other third-party payor places any additional requirements,
464 restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or
465 fees to the 340B entity, including but not limited to requiring a claim for a drug to include any
466 identification, billing modifier, attestation or other indication that a drug is a 340B drug in order
467 to be processed or resubmitted unless it is required by the United States Department of Health

and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(v) Require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(vi) Include any other provision in a contract between a health insurance issuer, pharmacy benefit manager, or other third-party payor and a 340B entity that discriminates against the 340B entity or prevents or interferes with an individual's choice to receive a prescription drug from a 340B entity, including the administration of the drug, in person or via direct delivery, mail, or other form of shipment, or creation of a restriction or additional charge on a patient who chooses to receive drugs from a 340B entity.

(vii) Require or compel the submission of ingredient costs or pricing data pertaining to 340B drugs to any health insurance issuer, pharmacy benefit manager, or other third party payor.

(viii) Exclude any 340B entity from the health insurance issuer, pharmacy benefit manager, or other third party payor network on the basis that the 340B entity dispenses drugs subject to an agreement under 42 U.S.C.256b, or refusing to contract with a 340B entity for reasons other than those that apply equally to non-340B entities.

(ix) Nothing in this section applies to the division of medical assistance as payor when Medicaid provides reimbursement for covered outpatient drugs as defined in 42 U.S.C. 1396r-8(9k)).

(c) With respect to manufacturing or distribution of drugs related to 340B entities:

(i) A manufacturer or distributor shall not deny, restrict, prohibit, or otherwise interfere with, either directly or indirectly, the acquisition of a 340B drug by, or delivery of a 340B drug to, a pharmacy that is under contract with a 340B entity and is authorized under such contract to receive and dispense 340B drugs on behalf of the covered entity unless such receipt is prohibited by the United States Department of Health and Human Services.

(ii) A manufacturer or distributor shall not interfere with a pharmacy contracted with a 340B entity.

(iii) A manufacturer or distributor shall not require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services.

SECTION 6. Chapter 176I of the General Laws, as so appearing, is hereby amended by inserting after section 14 the following new section: -

Section 15.

(a) For purposes of this section:

(1) “340B drug” shall mean a drug that has been subject to any offer for reduced prices by a manufacturer pursuant to 42 U.S.C. 256b and is purchased by a covered entity as defined by 42 U.S.C. 256b(a)(4).

(2) “340B entity” shall mean an entity participating or authorized to participate in the federal 340B drug discount program, as defined by 42 U.S.C. 256b, including its pharmacy, or

511 any pharmacy contracted with the participating entity to dispense drugs purchased through the
512 340B drug discount program.

513 (3) “Health insurance issuer” shall mean “carrier” as defined in section 1 of chapter
514 176O.

515 (4) “Third party” shall mean a group health plan, a health insurance issuer offering group
516 or individual health insurance coverage, or a pharmacy benefit manager that reimburses a 340B
517 covered entity for drugs. Third party includes Medicaid managed care organizations, employee
518 benefit plans under the Employee Retirement Income Security Act of 1974, or Medicare Part C
519 or D plans. Third party does not include drugs reimbursed under Medicaid fee-for-service or a
520 self-pay patient.

521 (5) “Manufacturer” means a person who is engaged in manufacturing, preparing,
522 propagating, compounding, processing, packaging, repackaging or labeling a prescription drug as
523 defined in 247 CMR 2.00.

524 (6) “Pharmacy” includes the definition of “pharmacy” and “retail drug business” as
525 defined by section 1 of chapter 94C, and “Institutional pharmacy” as defined by section 39D of
526 chapter 112.

527 (7) “Pharmacy benefit manager” shall have the same meaning as defined by section 226
528 of chapter 175.

529 (b) With respect to reimbursement to a 340B entity for 340B drugs, a health insurance
530 issuer, pharmacy benefit manager, other third party payor, or their agents shall not do any of the
531 following:

(i) Reimburse a 340B entity for 340B drugs at a rate lower than that paid for the same drug to entities that are not 340B entities or lower reimbursement for a claim on the basis that the claim is for a 340B drug.

(ii) Impose any terms or conditions on any 340B entity with respect to any of the following that differ from such terms or conditions applied to non-340B entities on the basis that the entity participates in the federal 340B drug discount program set forth in 42 U.S.C.256b or that a drug is a 340B drug including, without limitation, any of the following:

A. Fees, charges, clawbacks, or other adjustments or assessments. For purposes of this Subsection, the term “other adjustment” includes placing any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity that are not placed upon other entities that do not participate in the 340B drug discount program, including affiliate pharmacies of the health insurance issuer, pharmacy benefit manager, or other third-party payor.

B. Dispensing fees that are less than the dispensing fees for non-340B entities.

C. Restrictions or requirements regarding participation in standard or preferred pharmacy networks.

D. Restrictions or requirements regarding participation in standard or preferred pharmacy network.

E. Requirements that a claim for a drug include any identification, billing modifier, attestation, or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the United States Department of Health and Human Services, Centers for

Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

F. Any other restrictions, conditions, practices, or policies that are not imposed on non-340B entities.

(iii) Require a 340B entity to reverse, resubmit, or clarify a claim after the initial adjudication unless these actions are in the normal course of pharmacy business and not related to 340B drug pricing.

(iv) Discriminate against a 340B entity in a manner that prevents or interferes with any patient's choice to receive such drugs from the 340B entity, including the administration of such drugs. For purposes of this subsection, it is considered a discriminatory practice that prevents or interferes with a patient's choice to receive drugs at a 340B entity if a health insurance issuer, pharmacy benefit manager, or other third-party payor places any additional requirements, restrictions, or unnecessary burdens upon the 340B entity that results in administrative costs or fees to the 340B entity, including but not limited to requiring a claim for a drug to include any identification, billing modifier, attestation or other indication that a drug is a 340B drug in order to be processed or resubmitted unless it is required by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, the executive office of health and human services, or the division of medical assistance.

(v) Require a 340B entity to submit any claims, utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or delivery of a 340B drug to, a 340B entity unless the data is required by the United States Department of Health and Human Services,

574 Centers for Medicare and Medicaid Services, the executive office of health and human services,
575 or the division of medical assistance.

576 (vi) Include any other provision in a contract between a health insurance issuer, pharmacy
577 benefit manager, or other third-party payor and a 340B entity that discriminates against the 340B
578 entity or prevents or interferes with an individual's choice to receive a prescription drug from a
579 340B entity, including the administration of the drug, in person or via direct delivery, mail, or
580 other form of shipment, or creation of a restriction or additional charge on a patient who chooses
581 to receive drugs from a 340B entity.

582 (vii) Require or compel the submission of ingredient costs or pricing data pertaining to
583 340B drugs to any health insurance issuer, pharmacy benefit manager, or other third party payor.

584 (viii) Exclude any 340B entity from the health insurance issuer, pharmacy benefit
585 manager, or other third party payor network on the basis that the 340B entity dispenses drugs
586 subject to an agreement under 42 U.S.C.256b, or refusing to contract with a 340B entity for
587 reasons other than those that apply equally to non-340B entities.

588 (ix) Nothing in this section applies to the division of medical assistance as payor when
589 Medicaid provides reimbursement for covered outpatient drugs as defined in 42 U.S.C. 1396r-
590 8(9k)).

591 (c) With respect to manufacturing or distribution of drugs related to 340B entities:

592 (i) A manufacturer or distributor shall not deny, restrict, prohibit, or otherwise interfere
593 with, either directly or indirectly, the acquisition of a 340B drug by, or delivery of a 340B drug
594 to, a pharmacy that is under contract with a 340B entity and is authorized under such contract to

595 receive and dispense 340B drugs on behalf of the covered entity unless such receipt is prohibited
596 by the United States Department of Health and Human Services.

597 (ii) A manufacturer or distributor shall not interfere with a pharmacy contracted with a
598 340B entity.

599 (iii) A manufacturer or distributor shall not require a 340B entity to submit any claims,
600 utilization, patient, or other data as a condition for allowing the acquisition of a 340B drug by, or
601 delivery of a 340B drug to, a 340B entity unless the data is required by the United States
602 Department of Health and Human Services.